Annual Report
FY25-26

INDIA IPO

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Annual Report: FY25-26

FY2025–26 was India's most structurally significant year in the post-COVID IPO cycle, not simply because it produced record listing volumes, but because it fundamentally redefined how the market evaluates, prices and sustains public equity. A total of 371 IPOs across all segments raised ₹2.04 lakh crore, the highest annual IPO count ever recorded in India. The mainboard crossed 100 listings for the first time, while the SME segment delivered 254 listings, a fifth consecutive year of volume growth. Yet beneath these headline numbers, the market underwent a sharp recalibration: average mainboard listing gains fell to 8.88%, a seven-year low, post-listing corrections became the dominant investor experience, and OFS-led structures at 58% of mainboard proceeds confirmed that promoter exits, not growth capital, increasingly drove issuance activity.

The year's defining shift was from participation to evaluation. Institutional investors demanded earnings visibility. Retail investors encountered the limits of GMP-driven strategies. Promoters who priced aggressively into a softening secondary market paid a swift and measurable reputational cost. Companies that chose patience over pressure, deferring well-timed launches, strengthening governance and building institutional relationships before filing were rewarded with better subscription quality and more durable post-listing performance.

FY26 did not punish ambition. It filtered it.

FY26 IPO Market Scorecard

Metric	FY26
Total IPOs (All Segments)	371
Total Funds Raised	₹2.04 lakh crore
Mainboard IPO Count	112
Mainboard Funds Raised	₹1,78,977 crore
SME IPO Count	254
SME Funds Raised	₹11,584 crore
REIT Listings	2 (₹5,273 crore)
InvIT Listings	3 (₹7,978 crore)
Average Mainboard Listing Gain	8.88% (7-year low)

Median Mainboard Listing Gain	~4.1%
IPOs Listed Above Issue Price	65% (Mainboard)
IPOs Listed Below Issue Price	35% (Mainboard) / 33% (SME)
Average Oversubscription (Q3 FY26)	35x; YTD FY26: 43x
OFS Share of Mainboard Proceeds	58%
Fresh Issue Share	42%

FY25 vs FY26: Year-on-Year Shift

Metric	FY25	FY26	Change
Total Mainboard IPOs	80	112	▲ +40% volume
Total Mainboard Funds Raised	₹1.63 lakh crore	₹1.79 lakh crore	▲ +9.8%
Average Listing Gain	29%	8.88%	▼ Sharp compression
IPOs Above Issue Price	67%	65%	▼ Marginal erosion
OFS Share of Proceeds	50–55%	58%	▲ Exit bias deepened

Four-Year Mainboard Trend

Financial Year	Mainboard IPOs	Total Funds Raised	Avg Deal Size	Avg Listing Gain
FY23	36	₹56,900 crore	₹1,580 crore	12%
FY24	76	₹61,915 crore	₹815 crore	29%
FY25	80	₹1,63,000 crore	₹2,038 crore	29%
FY26	**112**	**₹1,78,977 crore**	**₹1,598 crore**	**8.88%**

Capital Share

Segment	IPO Count	Funds Raised	Share of Total Capital
Mainboard	112	₹1,78,977 crore	87.80%
SME	254	₹11,584 crore	5.70%
REIT	2	₹5,273 crore	2.60%
InvIT	3	₹7,978 crore	3.90%
Grand Total	**371**	**₹2,03,812 crore**	**100%**

The capital concentration speaks for itself: SME contributed **68.5% of IPO count** but only **5.7% of capital** mobilised. Average mainboard IPO size: ₹1,598 crore. Average SME IPO: approximately ₹45.6 crore.

Mainboard vs SME Performance Comparison

Metric	Mainboard FY26	SME FY26
Avg Listing Gain	8.88%	9.865%
Listed in Loss (Debut Day)	35%	33%
Post-Listing 3-Month Trend	Negative bias	Sharply negative in H2 FY26
Avg Oversubscription	43x	Varies widely (retail-driven)
Institutional Coverage	QIB-anchored	Largely absent
Liquidity Depth	Significant	Limited float; promoter-heavy ownership

SME average listing gains collapsed from approximately 60% in FY24 to approximately 12% in CY2025 to approximately 2–3% in Q4 FY26. With one early-FY26 snapshot showing 23 out of 30 SME IPOs debuting below issue price, the segment's structural vulnerability, limited float, minimal institutional participation, and limited post-listing liquidity became visible when retail momentum paused.

Quarterly Breakdown: Mainboard FY26

Quarter	Period	Mainboard Listings	Capital Raised	Avg Listing Premium	Landmark Deal
Q1 FY26	Apr–Jun 2025	9	₹13,851 crore	Muted	Ather Energy ₹3,000 Cr; Leela Palaces ₹3,500 Cr
Q2 FY26	Jul–Sep 2025	46	₹51,071 crore	~11%	HDB Financial Services ₹12,500 Cr
Q3 FY26	Oct–Dec 2025	39	₹95,276 crore	~7%	Tata Capital ₹15,512 Cr; LG Electronics ₹11,607 Cr
Q4 FY26	Jan–Mar 2026	18	₹18,779 crore	~4%	Raajmarg Infra InvIT ₹6,000 Cr

Q3 FY26 was the capital-dominant quarter, with Tata Capital and LG Electronics India launching within 24 hours of each other in October 2025, together raising ₹27,119 crore in a single week, representing 28% of Q3's total capital. **Q4 FY26** was the smallest but most structurally consequential quarter: 9 of 18 mainboard IPOs delivered negative listing gains as Nifty declined ~6% year-to-date.

Subscription Patterns: Noise vs Conviction

Three structural observations defined FY26 subscription behaviour:

1. **QIB selectivity intensified.** In Q1, QIBs preferred small issuances over large, signalling valuation discomfort in large-cap issuances. By Q3, IPOs with strong QIB books consistently outperformed; retail-led books underperformed on listing and after.

2. **HNI leverage participation moderated.** The split HNI category (small HNI ₹2–10 lakh; big HNI above ₹10 lakh) introduced by SEBI showed differentiated behaviour, with some issues displaying more modest HNI subscription as leveraged application strategies declined with compressed listing gains.

3. **High oversubscription no longer predicts performance.** Some of the most heavily subscribed issues of H1 FY26 had corrected 20–40% from the listing price by Q4. The correlation between subscription multiples and post-listing returns, always imperfect, weakened further in FY26.

Pricing Discipline: The Year the Market Extracted Its Own Verdict

Signal	FY26 Observation
Average listing gain	8.88% - lowest in 7 years, first time in single digits since FY18–19
Q3 FY26 avg listing premium	Just 7% despite 35x average oversubscription

Q4 FY26	9 of the last 18 mainboard IPOs delivered negative listing gains
GMP vs actual listing	Grey market premiums collapsed relative to final pricing in Q3–Q4; several issues where GMP suggested 15–20% gains were listed flat or negative
Notable negatives	Omnitech Engineering: −9.72%; Clean Max Enviro: −17.62%; Shree Ram Twistex: −31.35%

Top FY26 Mainboard Deals by Issue Size

Rank	Company	Issue Size (₹ Cr)	Quarter	Issue Price	Listing Premium
1	**Tata Capital**	15,512	Q3 — Oct 13, 2025	₹326	1.23%
2	**HDB Financial Services**	12,500	Q2 — Jul 2, 2025	₹740	13%
3	**LG Electronics India**	11,607	Q3 — Oct 14, 2025	₹1,140	50.44%
4	**Raajmarg Infra InvIT**	6,000	Q4 — Mar 24, 2026	₹100	7%
5	**Knowledge Realty Trust**	4,800	Q2 — Aug 18, 2025	₹100	3%
6	**NSDL**	4,000	Q2 — Aug 6, 2025	₹800	10%
7	**JSW Cement**	3,600	Q2 — Aug 14, 2025	₹147	4.4%
8	**Leela Palaces Hotels & Resorts**	3,500	Q1 — Jun 2, 2025	₹435	1.84%
9	**Anthem Biosciences**	3,395	Q2 — Jul 21, 2025	₹570	26.86%
10	**Ather Energy**	2,981	Q1 — May 6, 2025	₹321	6.23%

LG Electronics India set the record for the highest IPO demand since 2008: 54x subscribed with ₹4.4 lakh crore in bids, and the largest-ever listing premium for any Indian issue above ₹10,000 crore.

Sector Performance: FY26 Mainboard

Note: *Sector-level breakdown below is based on 9-month data (Apr–Dec 2025 / 93 of 112 listings), reflecting available exchange-level segmentation. Full-year sector data is pending final Q4 tabulation.*

Sector	No. of IPOs (9M)	Total Funds Raised (₹ Bn)	Avg Listing-Day Gain
Financial Services	11	588	9.40%
Consumer Services	10	259	17.30%
Consumer Durables	8	165	11.30%
Capital Goods	17	140	6.80%
Healthcare	10	89	11.70%
Automobile & Auto Components	4	92	5.50%
Realty	2	24	18.00%
Information Technology	4	24	11.20%
Chemicals	4	17	10.30%
FMCG	4	32	6.30%
Construction	7	66	2.50%
Oil, Gas & Fuels	1	28	2.90%
Metals & Mining	2	15	6.90%
Services	8	54	1.10%
Telecommunication	1	8	−0.70%

Two-thirds of total FY26 IPO funding came from just three sectors: Financial Services, Consumer Services and Capital Goods. Telecom was the only sector with a negative average listing-day return. Realty (18.0%) and Consumer Services (17.3%) led all sectors in listing-day performance.

Sector Highlights

Financial Services: Eleven mainboard listings raised ₹588 billion — over one-third of total FY26 IPO proceeds. Groww (Billionbrains Garage Ventures) raised ₹6,632 crore at a PE of 29.94x (vs industry avg 40.77x), listed at +12%, then rallied ~53% from issue price. NSDL raised ₹4,012 crore with a 33% gain post-listing. Tata Capital, at ₹15,512 crore, listed flat at +0.4% — confirming that size alone does not guarantee a premium if pricing is already full.

Capital Goods (Manufacturing): 17 issuances raised ₹140 billion at 6.8% average listing gain. Belrise Industries (auto components, May 2025) was the showcase listing: +105% over its ₹90 issue price, supported by PAT growth of 27.78%. Tenneco Clean Air India (Nov 2025): +23%. Fabtech Technologies (Oct 2025): +28%. SEDEMAC Mechatronics (Mar 11, 2026): +7.33%.

Structural Firsts in FY26: - Fractal Analytics — India's first enterprise AI mainboard listing - Gaudium IVF — India's first fertility services mainboard listing

SME IPO Segment: Three-Year Evolution

FY24–FY26 Full-Year Comparison

Metric	FY24	FY25	FY26	FY24→25	FY25→26
SME Listings	196	240	**254**	▲ +22.4%	▲ +5.8%
Capital Raised	₹5,917 crore	₹9,647 crore	**₹11,584 crore**	▲ +63.1%	▲ +20.1%
Avg Issue Size	~₹30 crore	~₹44 crore	**~₹45.6 crore**	▲ +46.7%	▲ +3.6%
Avg Listing Gain	~60%	~30%	**~9.865%**	▼ Sharp fall	▼ Collapse
Listed with Gain	~90%+	~75%	**~67%**	▼	▼

The SME segment's trajectory tells a clear story: explosive volume and quality growth from FY24 to FY25 (+22.4% listings, +63.1% capital), followed by maturing but moderating momentum in FY26 (+5.8% listings, +20.1% capital). The dramatic compression in listing gains from ~60% in FY24 to single digits in Q4 FY26 reflects both structural quality improvement (SEBI eligibility reforms) and market-wide valuation repricing.

SME FY26 Notable IPOs

Record	Company	Detail
Highest Subscription FY26	**Austere Systems**	1,076.99x (Sep 2025); ₹15.57 crore issue

Highest Subscription CY2025	**Shyam Dhani Industries**	988.29x; ₹38.49 crore issue; 90% listing gain
Third Highest	**Gabion Technologies**	826.07x (Jan 2026)
Weakest Demand	**Manilam Industries**	0.20x Day 1

Since inception, over 1,380 companies have listed on India's SME platforms (BSE SME + NSE Emerge), raising more than ₹35,000 crore, with approximately 350 graduating to the mainboard, validating these platforms as genuine capital-formation and price-discovery mechanisms.

India's IPO Regulatory Reset: How SEBI Reshaped the Primary Market in FY26

SEBI's FY26 reform agenda was sequenced, coherent and systematic; simultaneously raising the floor for SME issuers, strengthening intermediary accountability, deepening institutional commitment and unlocking structural access for mega-issuers.

1. ICDR Amendments — March 3, 2025 (Foundation)

SEBI notified sweeping amendments to the ICDR Regulations, 2018:

- **24-hour mandatory disclosure:** Promoters and promoter groups must report all securities transactions within 24 hours from DRHP filing through to issue closure
- Pre-IPO placements must be disclosed to stock exchanges within 24 hours of execution
- Rights issue processes simplified with rationalised timelines

2. SME IPO Overhaul — Quality Over Volume

SEBI's most structurally significant intervention: comprehensive tightening of SME IPO eligibility criteria.

Key changes:

- **Profitability floor:** Mandatory operating profit (EBITDA) of at least ₹1 crore in at least 2 of the last 3 financial years
- **OFS cap:** Offer for Sale capped at 20% of the total issue size
- **GCP utilisation cap:** General Corporate Purpose allocation capped at the lower of ₹10 crore or 15% of total issue size (down from 25%)
- **Independent directors & internal controls:** Mandated before listing
- **RPT compliance:** SME-listed companies raising further capital without migrating to the mainboard must comply with the mainboard-equivalent Related Party Transaction norms

3. New SME Bidding Architecture — July 1, 2025

Jointly implemented by NSE and BSE:

♦ The traditional Retail Individual Investor (RII) category was retired and replaced by a unified **Individual Investor** category

♦ Minimum application size set at ₹2 lakhs or 2 lots

♦ QIBs and NIIs are similarly required to bid for at least 2 lots

♦ Designed to eliminate speculative, ticket-splitting behaviour that had distorted subscription data

4. Anchor Investor Framework Revamped — November 30, 2025

Parameter	Pre-FY26 Norm	Revised Norm (FY26)
Anchor investor quota	33% of the QIB portion	**40% of the QIB portion**
Domestic insurance/pension earmark	Not applicable	Extra 7% reserved for LIC/ pension funds
Max anchors (issues up to ₹250 crore)	10	**15**
Additional anchors per ₹250 crore slab	10	**15**

The split lock-in structure (30 days for 50% of allocation; 90 days for the remaining 50%) introduced in April 2022 remains in force.

5. Merchant Banker Accountability Overhauled — Effective January 3, 2026

SEBI notified the Merchant Bankers Amendment Regulations, 2025, introducing a two-tier categorisation:

Parameter	Old Norm (1992)	Category I (FY26)	Category II (FY26)
Eligible mandate	All IPOs	Mainboard IPOs	SME IPOs only
Min net worth (phased)	₹5 crore	₹25 Cr (Jan ’27); ₹50 Cr (Jan ’28)	₹7.5 Cr (Jan ’27); ₹10 Cr (Jan ’28)
Liquid net worth requirement	None	25% of net worth	25% of net worth

Underwriting exposure cap	None	20x Liquid Net Worth	20x Liquid Net Worth
Min 3-year cumulative revenue	None	₹25 crore	₹5 crore
Outsourcing of core MB activities	Permitted	**Prohibited**	**Prohibited**

6. Mega-Issuer Framework - Gazette Notification, March 13, 2026

SEBI's board approved the tiered Minimum Public Offer (MPO) / Minimum Public Shareholding (MPS) framework on September 12, 2025. The Finance Ministry formally notified amendments via gazette on March 13, 2026.

Post-Issue Market Cap	Minimum Public Offer (MPO)	Minimum Public Float	MPS Timeline
Up to ₹1,600 cr	25%	25%	Standard (3 years)
₹1,600 cr – ₹4,000 cr	₹400 cr	Proportionate	3 years
₹4,000 cr – ₹50,000 cr	10%	10%	3 years
₹50,000 cr – ₹1 lakh cr	₹1,000 cr or 8% (whichever is lower)	8%	5 years
₹1 lakh cr – ₹5 lakh cr	₹6,250 cr + 2.75%	2.75%	Conditional: 5 or 10 years
Above ₹5 lakh cr	₹15,000 cr + 1% (min 2.5%)	1–2.5%	Conditional: 5 or 10 years

The widely anticipated proposal to reduce the retail quota from 35% to 25% was scrapped, preserving equitable retail investor access. This framework enables India's largest private enterprises in telecom, fintech and financial market infrastructure to list domestically at a structurally manageable float.

Six Structural Lessons from FY26

1. **Listing gains are a measure of pricing accuracy, not market enthusiasm.** The 8.88% average listing gain of FY26 is not a failure of market appetite. India raised over ₹1.79 lakh crore on the mainboard alone. It is the market's accurate verdict on how well issuers priced their offerings.

2. **Subscription quality has replaced subscription quantity as the relevant metric.** QIB participation quality, the breadth of domestic mutual funds, insurers and institutional conviction, is a more reliable predictor of post-listing performance than raw subscription multiples.

3. **Anchor allocation is a structural buffer, not a formality.** The December 2025 SEBI reforms expanding anchor allocation to 40% of the QIB portion with a partial 90-day lock-in meaningfully extend the post-listing stabilisation window.

4. **OFS-heavy structures require fundamental justification.** With 58% of mainboard proceeds directed to exiting stakeholders, issuers seeking premium valuations for promoter exits face an increasingly discerning domestic institutional investor base.

5. **Sector matters less than earnings visibility and pricing discipline.** FY26's top performers spanned Evs, auto components, technology, pharmaceuticals and logistics; no single sector dominated. The unifying factor was conservative pricing relative to demonstrated earnings.

6. **The SME-to-mainboard graduation pipeline is a quality mechanism.** 14 companies graduated from NSE SME to the mainboard in 9M FY26 alone. With 254 SME listings in FY26, the graduation pipeline for FY27 mainboard origination is expanding meaningfully.

FY27 Pipeline & Outlook

The Pipeline Ahead

Pipeline Status	Companies	Capital Target
SEBI approval secured	96 companies	~₹1.25 lakh crore
Awaiting SEBI clearance	106 companies	~₹1.40 lakh crore
Total Ready/Near-Ready	**~200+**	**~₹2.65 lakh crore+**

Transformative Listings Anticipated in FY27

♦ **Reliance Jio:** estimated ₹30,000–52,000 crore

♦ **NSE (National Stock Exchange):** estimated ₹47,500 crore at 10% stake divestment

♦ **Hero FinCorp:** ₹3,668 crore

♦ **IIFCL:** Cabinet approval secured; FY27 listing confirmed

SME Pipeline Signal

In FY26, average SME issue sizes grew to ~₹45.6 crore from ~₹44 crore in FY25 and ~₹30 crore in FY24. 14 companies graduated from NSE SME to the mainboard in 9M FY26; a healthy pipeline signal for FY27 mainboard origination across manufacturing, retail and niche services.

Closing Perspective

FY26 did not produce a failure; it produced a recalibration. A market that can generate 112 mainboard listings and 254 SME listings while simultaneously demanding stricter governance, more defensible pricing and greater earnings visibility is a market that is maturing, not retreating.

The regulatory architecture built across FY26 from the ICDR amendments of March 2025 to the Merchant Banker overhaul of December 2025 to the Finance Ministry's gazette notification of March 2026 has simultaneously raised the floor for SME issuers, strengthened intermediary accountability and structurally enabled India's largest enterprises to list domestically.

The era of near-guaranteed listing premiums has ended. Post-listing sustainability built on pricing discipline, transparent governance, genuine institutional conviction and growth-oriented capital structures is the new benchmark. For founders, investors and capital market practitioners, FY26 is not a cautionary tale. It is a curriculum.

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